

**IN THE INCOME TAX APPELLATE TRIBUNAL
COCHIN BENCH, COCHIN
(VIRTUAL HEARING AT BANGALORE)**

**BEFORE SHRI PRASHANT MAHARISHI, VICE – PRESIDENT
AND
SHRI KESHAV DUBEY, JUDICIAL MEMBER**

S.A. Nos. 103-107/Coch/2025 & 01/Coch/2026 and ITA Nos. 934, 936-939 & 1048/Coch/2025
Assessment Years: 2016-17, 2017-18, 2020-21, 2021-22, 2022-23 & 2023-24

Pattambi Service Co-operative Bank Limited, No. P 585, Razmall Complex, Pallipuram Road, Pattambi, Palakkad – 679 303. PAN: AAAAP9607P	Vs.	The Income Tax Officer, Ward – 2, Palakkad.
APPELLANT		RESPONDENT

Assessee by	:	CA, Shreya S Samuel
Revenue by	:	Ms. Neethu S, Snr DR

Date of Hearing	:	12-06-2026
Date of Pronouncement	:	10-08-2026

ORDER

PER PRASHANT MAHARISHI, VICE – PRESIDENT

1. Pattambi Service Co-operative Bank Limited, the applicant, has filed these stay applications before us for Assessment Years 2016-17 to 2022-23, and S.A. No. 01/Coch/2026 for Assessment Year 2023-24, seeking stay of demand arising from and pending in the appeals in ITA Nos. 934, 936-939 & 1048/Coch/2025 for the respective assessment years.
2. Shri Shreya S. Samuel, Chartered Accountant and authorised representative of the assessee, referred to ITA No. 934/Coch/2025 for Assessment Year 2021-22 and submitted that the demand mainly arises from disallowance of deduction

under section 80P(2)(a)(i) of the Income-tax Act, 1961, amounting to ₹7,65,96,433, disallowance under section 40(a)(ia) amounting to ₹6,22,97,012, and disallowance under section 36(1)(v) amounting to ₹58,09,975. She contended that the assessee is eligible for deduction under section 80P(2)(a)(i) and that the disallowances made by the Assessing Officer and sustained by the learned CIT(A) are not justified. She submitted that the balance of convenience is in favour of the assessee and, therefore, the demand should be kept in abeyance until the pending appeals are disposed of by the Coordinate Bench. She further submitted that recovery of the demand would cause undue hardship to the assessee, a co-operative bank, and stated that the assessee is ready to argue the appeals either on the same day or on any date fixed by the Bench.

3. The learned Senior Departmental Representative, Ms. Neethu S., strongly opposed the stay petitions and submitted that the additions had been confirmed by two concurrent authorities; therefore, no stay should be granted in the present cases. However, she stated that she had no objection if the appeals were taken up and disposed of expeditiously.
4. In view of the above facts, both parties agreed that the appeals may be heard and disposed of on merits. They accordingly waived notice, and the appeals were taken up for hearing. Both parties were heard on the merits of the case.
5. We first record the facts in ITA No. 934/Coch/2025 for Assessment Year 2021-22. Briefly stated, the assessee is a co-operative society registered under the Kerala Co-operative Societies Act, 1969, with the primary object of providing credit facilities to its members and is classified as a primary agricultural credit society. The assessee filed its return of income for the assessment year on 20 January 2022, declaring nil income after claiming deduction of ₹7,65,96,433 under section 80P(2)(a)(i) of the Income-tax Act, 1961. The case was selected for scrutiny and statutory notices were issued. The learned Assessing Officer noted that a show-cause notice dated 16 December 2022 was issued to the assessee, but no response was filed. He therefore disallowed business expenditure of ₹6,22,97,012 under section 40(a)(ia), observing that the assessee had failed to furnish Form 26Q and Form 26AS for the relevant assessment year. According to

the Assessing Officer, the assessee had incurred interest expenditure of ₹15,41,76,247, establishment expenses of ₹3,98,90,784, and printing and stationery expenses of ₹1,35,89,678, aggregating to ₹20,76,56,709, on which tax was required to be deducted at source. Since the assessee failed to deduct tax at source, 30% of the said expenditure, amounting to ₹6,22,97,012, was disallowed under section 40(a)(ia) of the Act. The learned Assessing Officer further found that the assessee had shown miscellaneous income of ₹58,09,975, which required examination. The assessee was asked to furnish a brief written break-up of the financial services income. Since the details were voluminous, the assessee sought further time. However, the Assessing Officer proposed to disallow 10% of the total miscellaneous income of ₹5,80,99,755, amounting to ₹58,09,975, by applying the provisions of section 36(1)(v) of the Act. The assessee had also claimed deduction under section 80P(2)(a)(i) of the Act. The Assessing Officer called upon the assessee to justify the claim, but the show-cause notice was stated to have remained uncompiled with. In the absence of any response, the Assessing Officer disallowed the deduction claimed. Accordingly, the assessment order was passed on 27 December 2022, determining the total income of the assessee at ₹14,47,03,420.

6. The assessee preferred an appeal before the learned CIT(A), who passed an order on 19 September 2025. The assessee contended before the learned CIT(A) that the show-cause notice stated to have been issued by the Assessing Officer on 16 December 2022 was never served and had not been received by it. The learned CIT(A) initially confirmed the action of the Assessing Officer by order dated 31 October 2023, which was challenged before the Coordinate Bench. By order dated 9 December 2024, the Coordinate Bench set aside the issue to the file of the learned CIT(A) for deciding the appeal on merits in accordance with law. Thereafter, the appeal was migrated to the National Faceless Appeal Centre.
7. The learned NFAC was confronted by the assessee with the fact that it is a co-operative society registered under the Kerala Co-operative Societies Act, 1969, with its principal object and business being the provision of credit facilities to its members. The assessee was registered as a co-operative society on 2 February

1956 and is classified as a primary agricultural credit society. It was also noted that co-operative societies in Kerala participate in the disbursement of social security pension. Such societies contribute funds to the Kerala Social Security Pension Limited, which, in turn, provides funds to the Government; the Government thereafter repays the amount with interest over the specified period.

8. The learned NFAC considered the assessee's submissions and found that the assessee had not furnished the break-up of interest income and miscellaneous income. In the absence of these details, the learned CIT(A) upheld the Assessing Officer's order, confirming the disallowance of deduction under section 80P(2)(a)(i) of ₹7,65,96,433, the disallowance under section 40(a)(ia) of ₹6,22,97,012, and the disallowance under section 36(1)(v) of ₹58,09,975. Accordingly, the assessee's appeal was dismissed. Aggrieved by the said order, the assessee is in appeal before us for the relevant assessment year.
9. For Assessment Year 2022-23, the assessee filed its return of income on 5 November 2022 declaring nil income. The return was selected for scrutiny to examine the assessee's claim for deduction of ₹10,72,44,013 under section 80P(2)(a)(i) of the Act. On appeal, the learned CIT(A) confirmed the disallowance.
10. For Assessment Year 2020-21, the assessee filed its return of income on 9 November 2020 declaring nil income after claiming deduction of ₹6,66,63,573 under section 80P(2)(a)(i) of the Act. The Assessing Officer denied the deduction and further made an addition of ₹4,79,90,600 as income from other sources, on account of the assessee's failure to furnish the detailed break-up of such income. The assessee challenged the additions before the learned CIT(A), who, by order dated 18 September 2025, dismissed the appeal.
11. In ITA No. 938/Coch/2025 for Assessment Year 2017-18, the assessee filed its return of income on 27 October 2017 declaring nil income after claiming deduction of ₹4,59,17,210 under section 80P of the Income-tax Act. During the assessment proceedings, the Assessing Officer disallowed the assessee's claim for deduction and determined the total income at ₹4,59,17,210. The assessee challenged the assessment before the learned CIT(A), who, by appellate order

dated 18 September 2025, dismissed the appeal. Aggrieved, the assessee is in appeal before us.

12. For Assessment Year 2016-17, the assessee is in appeal in ITA No. 939/Coch/2025 against the order of the learned CIT(A) dated 17 September 2025, whereby the appeal of the assessee was dismissed, and the disallowance of deduction was upheld. In this case, the assessee filed its return of income on 14 September 2016 declaring nil income after claiming deduction of ₹3,95,36,536 under section 80P of the Income-tax Act. The Assessing Officer denied the deduction and passed the assessment order dated 26 December 2018 under section 143(3) of the Act.
13. For Assessment Year 2023-24, the assessee is in appeal in ITA No. 1048/Coch/2025 against the order of the learned CIT(A) dated 6 October 2025, whereby the appeal filed by the assessee against the assessment order dated 25 March 2025, passed under section 143(3) read with section 144B of the Act by the National Faceless Assessment Centre, Delhi, was dismissed. The assessee filed its return of income on 6 October 2023 declaring nil income after claiming deduction of ₹11,13,11,934 under section 80P of the Income-tax Act.
14. On the issue of deduction under section 80P(2)(a)(i) of the Income-tax Act, the learned authorised representative submitted that the Hon'ble Kerala High Court has held that interest income earned by the assessee is eligible for deduction under that provision. Regarding the other disallowances made by the Assessing Officer, she submitted that the assessee is willing to furnish the necessary details before the Assessing Officer. She further contended that the show-cause notice stated to have been issued by the Assessing Officer was never served on the assessee, and that this plea was raised before the learned CIT(A); however, without properly considering the same, the disallowances were confirmed.
15. The learned Senior Departmental Representative supported the orders of the lower authorities and submitted that the assessee had failed to furnish the required details, including the break-up of interest income, particulars of expenses, and details relating to tax deduction at source. In the absence of such information, according to her, the lower authorities were justified in making and

confirming the additions. About the deduction claimed under section 80P(2)(a)(i) of the Income-tax Act, she submitted that, since the assessee did not produce the details called for, there was no basis for allowing the deduction. She therefore supported the orders of the lower authorities.

16. We have carefully considered the rival contentions and perused the orders of the lower authorities. The assessee is a primary agricultural credit society registered under the Kerala Co-operative Societies Act, 1969, and earns interest income. The issue whether such interest income is eligible for deduction under section 80P(2)(a)(i) of the Income-tax Act has now been decided by the Hon'ble Kerala High Court in Principal Commissioner of Income-tax v. Peroorkada Service Co-operative Bank Ltd. [2022] 134 taxmann.com 380 (Kerala)/ [2022] 442 ITR 141 (Kerala) [01-11-2021] and Principal Commissioner of Income-tax v. Sahyadri Co-operative Credit Society Ltd. [2024] 166 taxmann.com 445 (Kerala)/ [2024] 301 Taxman 36 (Kerala) [04-09-2024].

17. Honourable Kerala High Court in case of Sahyadri Co-operative Credit Society Ltd [supra] has held as under: -

“3. The respondent/assessee is a Co-operative Society engaged in the provision of credit facilities to its members. It is a Multi-State Co-operative Society registered under the Multi-State Co-operative Societies Act, 2002, the provisions of which Statute regulate its functioning. The issue that arises for consideration in the instant case is with regard to its entitlement to deduction in respect of the interest that it earned from deposits that it had made in compliance with the statutory requirements under the MultiState Co-operative Societies Act. It is not in dispute that the amount of profits and gains of business attributable to its business of providing credit facilities to its members is eligible for the benefit of deduction under Section 80P (2) of the I.T. Act. The question that arises for consideration, however, is whether, on deposit by the respondent/assessee of the amounts that are found to be eligible for deduction under Section 80P (2), with a bank or other permitted institutions, the interest earned by the assessee on such deposits would also be entitled to the benefit of deduction under Section 80P (2) of the I.T. Act?.

According to the Revenue, while the assessee was entitled to the deduction in relation to the principal income by way of interest earned through the provision of credit facility to its members, the interest income earned through deposit of the principal income with banks and other permitted financial institutions would attract tax under the head of "Income from other sources" since they would cease to have the character of profits and gains of business or profession.

4. Arguing on behalf of the respondent/assessee, it is the submission of the learned Senior counsel Sri. A.Kumar, assisted by Adv.Smt. G.Mini that the provisions of Sections 63 and 64 of the Multi-State Co-operative Societies Act, 2002 mandate that the assessee Society shall, *inter alia*, out of its net profits in any year, transfer an amount not less than 25% to the reserve fund and subject to such conditions as may be prescribed, the balance of the net profits may be utilised for all or any of the purposes stipulated in sub clause (2) of Section 63. Similarly, the assessee Society is also permitted to invest or deposit its funds in any of the modes specified in Section 64 of the Multi-State Co-operative Societies Act. The provisions of Sections 63 and 64 of the Multi-State Co-operative Societies Act read as follows:

"63. Disposal of net profits - (1) A multi-state cooperative society shall, out of its net profits in any year-

(a)		transfer an amount not less than twenty-five per cent, to the reserve fund;
(b)		credit annually one per cent of net profit to co-operative education fund to be maintained by the Central Government in such manner as may be prescribed and the proceeds from such fund shall be used for co-operative education and training through the National Cooperative Union of India and any other agency in such manner as may be

		determined by the Central Government;
(c)		transfer an amount not less than ten per cent to a reserve fund for meeting unforeseen losses.

(2) Subject to such conditions as may be prescribed, the balance of the net profits may be utilised for all or any of the following purposes, namely:-

(a)		payment of dividend to the members on their paid-up share capital at a rate not exceeding the prescribed limit;
(b)		constitution of, or contribution to, such special funds including education funds, as may be specified in the bye-laws;
(c)		donation of amounts not exceeding five per cent, of the net profits for any purpose connected with the development of cooperative movement or charitable purpose as defined in section 2 of the Charitable Endowments Act, 1890 (6 of 1890);
(d)		payment of ex gratia amount to employees of the multi-state cooperative society to the extent and in the manner specified in the byelaws.

64. Investment of funds:- A multi-state cooperative society may invest or deposit its funds-

(a)		in a cooperative bank, state cooperative bank, cooperative land development bank or central cooperative bank; or
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(b)		in any of the securities issued by the Central Government, State Government, Government Corporations, Government Companies, Authorities, Public Sector Undertakings or any other securities ensured by Government guarantees;
(c)		in the shares or securities of any other multi-state cooperative society or any cooperative society; or
(d)		in the shares, securities or assets of a subsidiary institution or any other institution in the same line of business as the multi-State co-operative society; or
(e)		with any other scheduled or nationalised bank.

Explanation,-For the purposes of this clause, the expression,-

(i)		"scheduled bank" shall have the same meaning as assigned to it in clause (e) of section 2 of the Reserve Bank of India Act, 1934; and
(ii)		"nationalised bank" means a corresponding new bank constituted under sub-section (1) of section 3 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 and the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980; or
(f)		in such other manner as may be determined by

		the Central Government."
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5. Relying on the decision of the Andhra Pradesh High Court in *The Vavveru Co-operative Rural Bank Ltd. v. Chief CIT* [2017] 88 taxmann.com 728/396 ITR 371 (Andhra Pradesh and Telangana), the decision of the Karnataka High Court in *Tumkur Merchants Souharda Credit Cooperative Ltd. v. Income-tax officer* [2015] 55 taxmann.com 447/230 Taxman 309 (Karnataka)/[I.T.A.No.307 of 2014], the decision of the Calcutta High Court in *Principal Commissioner of Income-tax v. Gunja Samabay Krishi Unnayan Samity Ltd.* [2023] 147 taxmann.com 518/292 Taxman 46 (Calcutta)/[2023 (1) TMI 783] and the decision of the Karnataka High Court in *Lalitamba Pattina Souharda Sahakari Niyamita v. Income Tax Officer* 2018 (3) TMI 224, it is the contention of the learned Senior counsel that in as much as the investment of surplus profits was in accordance with the statutory prescriptions under the Multi-State Co-operative Societies Act, the interest earned on the deposits continued to retain the character of profits of business attributable to the activity of providing credit facilities to its members, and hence, there was no justification to deny the assessee the benefit of deduction under Section 80P(2) of the I.T. Act. In this connection, he seeks to distinguish the judgment of the Supreme Court in *Totgars, Co-operative Sale Society Ltd. v. ITO* [2010] 188 Taxman 282/322 ITR 283 (SC), by pointing out that in the said case, the Supreme Court had to consider the case of a Society that had appropriated amounts forming surplus receipts which were due to its members, and invested the same to earn interest during the period when the surplus receipts were in its hands. It is his submission that the factual situation in the instant cases is entirely different and the investment was of amounts that had already attained the character of surplus profits in the hands of the assessee.

6. Per contra, it is the submission of Sri. Jose Joseph, the learned Standing Counsel for the Revenue, that the interest earned on deposits and investments made, of the principal income which was entitled for the

deduction under Section 80P(2) of the I.T. Act, would attract the levy of tax under the head of "Income from other sources". This was because wherever the Legislature intended such interest income to also enjoy the benefit of deduction, it was expressly provided in Section 80P(2)(d) and the assessee in the instant case has not satisfied the requirements for getting the benefit of deduction under the said provision. The argument in other words, is that the express provision for deduction of interest on deposits conferred by Section 80P(2)(d) excludes, by implication, the deduction in relation to similar interest income under Section 80P(2)(a) of the I.T. Act.

7. On a consideration of the rival submissions, we are of the view that for the reasons stated hereinafter, the question of law that arises for consideration before us must be answered against the Revenue and in favour of the assessee. The permissible deduction that is envisaged under Section 80P(2) of the I.T. Act for a Co-operative Society that is assessed to tax under the head of 'Profits and Gains of Business or Profession' is of the whole of the amount of profits and gains of business attributable to any one or more of its activities. Thus, all amounts as can be attributable to the conduct of the specified businesses by a Co-operative Society will be eligible for the deduction envisaged under the statutory provision. The question that arises therefore is whether, merely because the assessee chooses to deposit its surplus profit in a permitted bank or financial institution, and earns interest on such deposits, such interest would cease to form part of its profits and gains attributable to its business of providing credit facilities to its members? In our view that question must be answered in the negative, since we cannot accept the contention of the Revenue that the interest earned on those deposits loses its character as profits/gains attributable to the main business of the assessee. It is not as though the assessee in the instant case had used the surplus amount [the profit earned by it] for an investment or activity that was unrelated to its main business, and earned additional income by way of interest or gain through such activity. The assessee had only deposited the profit earned by it in the manner mandated under Section 63 of the Multi-

State Co-operative Societies Act, or permitted by Section 64 of the said Act. In other words, it dealt with the surplus profit in a manner envisaged under the regulatory Statute that regulated, and thereby legitimized, its business of providing credit facilities to its members. Under those circumstances, if the assessee managed to earn some additional income by way of interest on the deposits made, it could only be seen as an enhancement of the profits and gains that it made from its principal activity of providing credit facilities to its members. The nature and character of the principal income [profits earned by the assessee from its lending activity] does not change merely because the assessee acted in a prudent manner by depositing that income in a bank, instead of keeping it in hand. The provisions of the I.T. Act cannot be seen as intended to discourage prudent financial conduct on the part of an assessee.

8. We also find force in the submission of the learned Senior counsel, distinguishing the decision of the Supreme Court in *M/s. The Totgars' Cooperative Sale Society Limited (supra)*, on the ground that the Court in that case had found that the Society concerned had appropriated amounts forming part of surplus receipts which were due to its members, and invested the same to earn interest during the period when the surplus receipts were in its hands. It was therefore that the court found that the interest earned by the Society through deposit of such receipts with banks in fact ought to have accrued to the benefit of the individual members and not to the Society itself; that in relation to the Society, it was to be treated as income from other sources since the interest income had lost its nexus with the principal income earned by the Society. The facts in the instant cases are entirely different and the investment concerned was of amounts that had already attained the character of surplus profits in the hands of the assessee. On this issue, therefore, we find ourselves in agreement with the view taken by the Andhra Pradesh and Karnataka High Courts respectively in *The Vavveru Co-operative Rural Bank Ltd. (supra)* and *Tumkur Merchants Souharda Credit Co-operative Ltd. (supra)*.

9. As for the argument of the learned Standing Counsel for the Revenue, with reference to the provisions of Section 80P(2)(d) of the I.T. Act, we might only observe that, while it may be a fact that interest income of the nature specified therein is specifically allowed as a deduction in the case of Co-operative Societies in general, in the light of our discussion above as regards the nature of the interest income earned by the assessee Society in the instant cases, it would follow that the interest income dealt with by us in the instant cases is not akin to the one contemplated under Section 80P(2)(d). We are of the view that the latter provision deals with interest income other than what can be attributable to the main business of the Society.

In the result, we dismiss these I.T. Appeals preferred by the Revenue, in so far as they relate to the question as to "whether or not the income received by the respondent Society by way of interest, on deposits of surplus profits earned by it, would qualify for the deduction contemplated under Section 80P(2)(a) of the I.T. Act, for profits and gains of business attributable to its activity of providing credit facilities to its members?" by answering the said question against the Revenue and in favour of the assessee."

18. We find that the issue is covered in favour of the assessee by the decisions of the Hon'ble jurisdictional High Court, which has held that the assessee is entitled to deduction under section 80P(2)(a)(i) of the Income-tax Act. In view of the above decisions, in so far as the claim for deduction under section 80P is concerned, we direct the learned Assessing Officer to examine the relevant details and decide the issue in accordance with the decisions of the Hon'ble jurisdictional High Court and thereafter grant the deduction to the assessee as per law.

19. We further find that, for the respective assessment years, the learned Assessing Officer had called for details relating to the claim of deduction of expenditure and the issue of non-deduction of tax at source, which were not furnished by the assessee. In some cases, the assessee also failed to furnish details of the miscellaneous income earned. We therefore direct the assessee to submit the

relevant details, and the learned Assessing Officer shall examine the same and decide the issues afresh in accordance with law.

20. The assessee further claims that the show-cause notice stated to have been issued by the Assessing Officer was never served on it and, consequently, it had no opportunity to explain its case before the Assessing Officer. In these circumstances, and in the interest of natural justice, the issues relating to deduction under section 80P(2)(a)(i) of the Income-tax Act, disallowance of expenditure for non-deduction of tax at source, and taxability of miscellaneous interest income require fresh verification. Accordingly, all these appeals are restored to the file of the learned Assessing Officer with a direction to examine the assessee's claim for deduction under section 80P(2)(a)(i) of the Act and to verify the details of the various expenditures on which tax was required to be deducted, if any, before deciding the matter afresh in accordance with law.
21. In the result, all the appeals filed by the assessee are allowed for statistical purposes.
22. Since the appeals have already been restored to the file of the learned Assessing Officer, the consequential stay petitions filed before us have become infructuous and are accordingly dismissed.

Order pronounced in the open court on 10th August, 2026.

Sd/-
(KESHAV DUBEY)
JUDICIAL MEMBER

Sd/-
(PRASHANT MAHARISHI)
VICE-PRESIDENT

Bangalore,
Dated, the 10th August, 2026.

Copy to:

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| 1. Appellant | 2. Respondent |
| 3. CIT | 4. CIT(A) |
| 5. DR, ITAT, Cochin | |

By order

Assistant Registrar,
ITAT, Cochin